AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

MAY 2015

Principles of Accounting Paper II

Time: 2 hours 25 minutes Marks: 50

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are FIVE questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 8 Marks)

a. Identify whether the account head has increased or decreased for each of the following business transactions with reference to the rules of Debit and Credit. The first has been done for your reference. (4 Marks)

Transaction	Assets	Liability	Capital
The owner invested cash in the business.	**+**	**N.A**	**+**
The owner purchased supplies on account from Mr Ali for the business.			
Payment to Mr Ali (Supplier).			
The owner withdrew cash from the business.			
The owner brought car of Rs 250,000 in the business as an asset.			

b. Enter the following transaction in an accounting equation. (4 Marks)

1. Mr Ahmed started a books and stationary store with an investment of Rs 100,000 cash.
2. He purchased merchandise (books and stationary) worth Rs 75,000 with a down payment of Rs 25,000 the balance will be paid in a month's time from Rehan Brothers.
3. He purchased supplies for the store for Rs 2,500.
4. He returned merchandise to Mr Rehan of Rs 5,400.
5. He withdrew a book worth Rs 500 for his son from the store.
6. He withdrew cash of Rs 2,000

Assets				Liabilities		Owner's Equity	
Cash	**Supplies**	**Merchandise**	**Account Receivable**	**Account Payable**	**Salary Payable**	**Owner's Capital**	**Owner's With drawal**
100,000						**100,000**	
(25,000)		**75,000**		**50,000**			

Q.2. (Total 12 Marks)

a. Review the given trial balance. It has a few posting errors in nature of account. Rectify and prepare the correct trial balance. (6 Marks)

Account Title	Debit	Credit
Cash	10,000	
Sales	75,000	
Purchases	65,000	
Sales return		2,500
Furniture	95,000	
Account payable	1,500	
Other income		5,000
Salaries expense	12,500	
Insurance expense		20,000
Drawing		1,500
Capital		130,000
Account receivable	15,000	
Bank loan	10,000	
Total	**284,000**	**159,000**

b. The following account balances are taken from the books of Al-Munaza Store. (6 Marks)

Particular	**Amount Rs**
Sales	150,000
Sales returns	1,500
Purchases	110,000
Purchases return	1,200
Merchandise inventory opening	15,500
Merchandise inventory ending	25,500
Salaries expense	12,500
Supplies expense	10,500
Rent expense	8,500

Use this data to prepare the classified Income Statement.

Income Statement			

Q.3. (Total 10 Marks)

a. Post the following entries in the given cash book. (5 Marks)

02.12.14 Received cheque from Asad and Co. of Rs 5,400.

03.12.14 Deposited Asad and Co. cheque into the bank account.

05.12.14 A customer directly deposited Rs 4,500 to the bank account.

07.12.14 Withdrew cash from the bank for office use Rs 2,500.

09.12.14 Issued a cheque to Mr Qamar worth Rs 3,000.

Receipts					Payments				
Date	**Particulars**	**L.F**	**Cash**	**Bank**	**Date**	**Particulars**	**L.F**	**Cash**	**Bank**
01.12.14	**Balance**		**2,000**	**9,000**					

b. Post the following General Journal entries with proper narration. (5 Marks)

01.02.2014 Ms Munira has started a business with cash investment of Rs 100,000.

03.02.2014 Purchased goods on cash from Alam & Co for Rs 14,500.

05.12.2014 Credit sales of Rs 15,000 to Mr Rehman.

06.12.2014 Mr Rehman has returned some defective items valued at Rs 1,500.

08.12.2014 Purchased goods on account from Alam & Co for Rs 15,500.

Date	Particular	P/R	Debit	Credit

Q.4. (Total 8 Marks)

a. Enter the following transactions in the sales day book. (4 Marks)

01.11.2014	credit sales to Mr Ahmed (invoice #12563)	Rs 7,500
03.11.2014	credit sales to Mr Ghafoor (invoice #12564)	Rs 8,000
05.11.2014	credit sales to Mr Samad (invoice #12566)	Rs 12,500
07.11.2014	credit sales to Mr Amir (invoice #12568)	Rs 9,500
09.11.2014	credit sales to Mr Karim (invoice #12570)	Rs 14,500

Sales Day Book				
Date	**Particular**	**Invoice number**	**Folio**	**Amount**

b. Consider the transaction done in part a, draw and post the items to the relevant accounts in the Sales Ledger. The first has been done for your reference. (4 Marks)

Mr Ahmed

Date	Particular	Folio	Amount	
01.11	**Sales**		**7,500**	

Q.5. (Total 12 Marks)

a. The Alpha Company purchased machine on 1st July, 2011 at the list price of Rs 350,000. The company's accounting year ends on 31st December, 2014. The estimated life of the machine is 10 years and the estimated scrap value of the machine is Rs 75,000. The company uses the straight line method of charging depreciation. (6 Marks)

i. Compute the depreciation for the following years 2011, 2012, 2013 and 2014.

ii. Record the General Journal entry for 2014 only.

b. The following information regarding customer's account is extracted from the books of Maaz & Co.

Account Receivable Rs 125,000

Allowance for Bad debts Rs 18,750

Some additional information that needs to be adjusted to account receivable and allowance for bad debts is:

- A firm liable to pay Rs 7,500 has been declared bankrupt and its account to be written off.
- The Company has changed its policy of allowance of bad debts rates and, from now onwards bad debts will be 20% of the total account receivable instead of the last year's 15% rate.

i. Post the General Journal entry for bad debts written off. (1 Mark)

Date	Particular	P/R	Debit	Credit

ii. Compute the adjusted amount of bad debts expense. (3 Marks)

iii. Post the General Journal entry for recording bad debts for the current year. (2 Mark)

Date	Particular	P/R	Debit	Credit

END OF PAPER

Please use this page for rough work